

India vs Europe: Where Should an Early-Stage SaaS Fund Deploy Next?

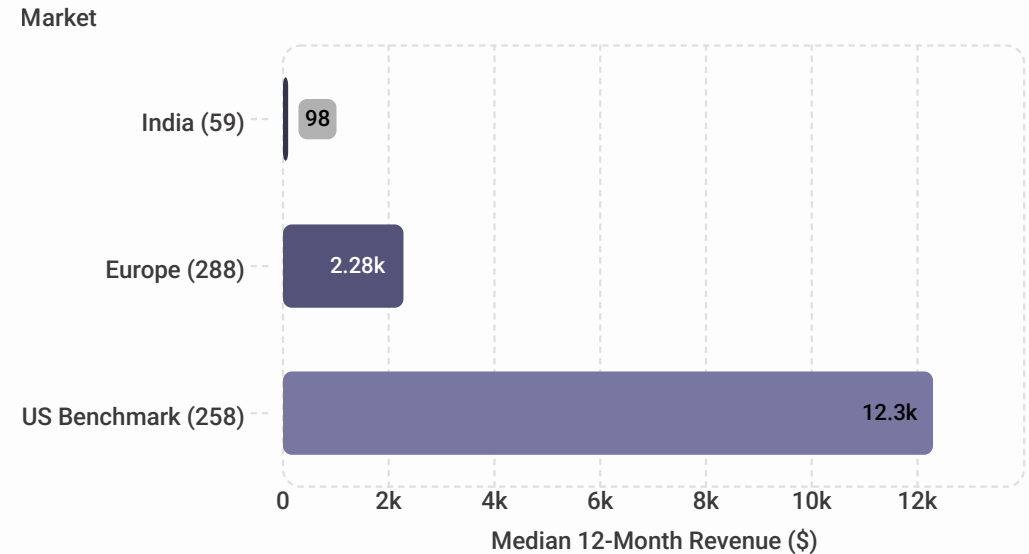
An investment thesis built on 1,000 startups from the TrustMRR panel, July 2026

Prepared for the Investment Committee

India builds as much as Europe. It earns 14x less.

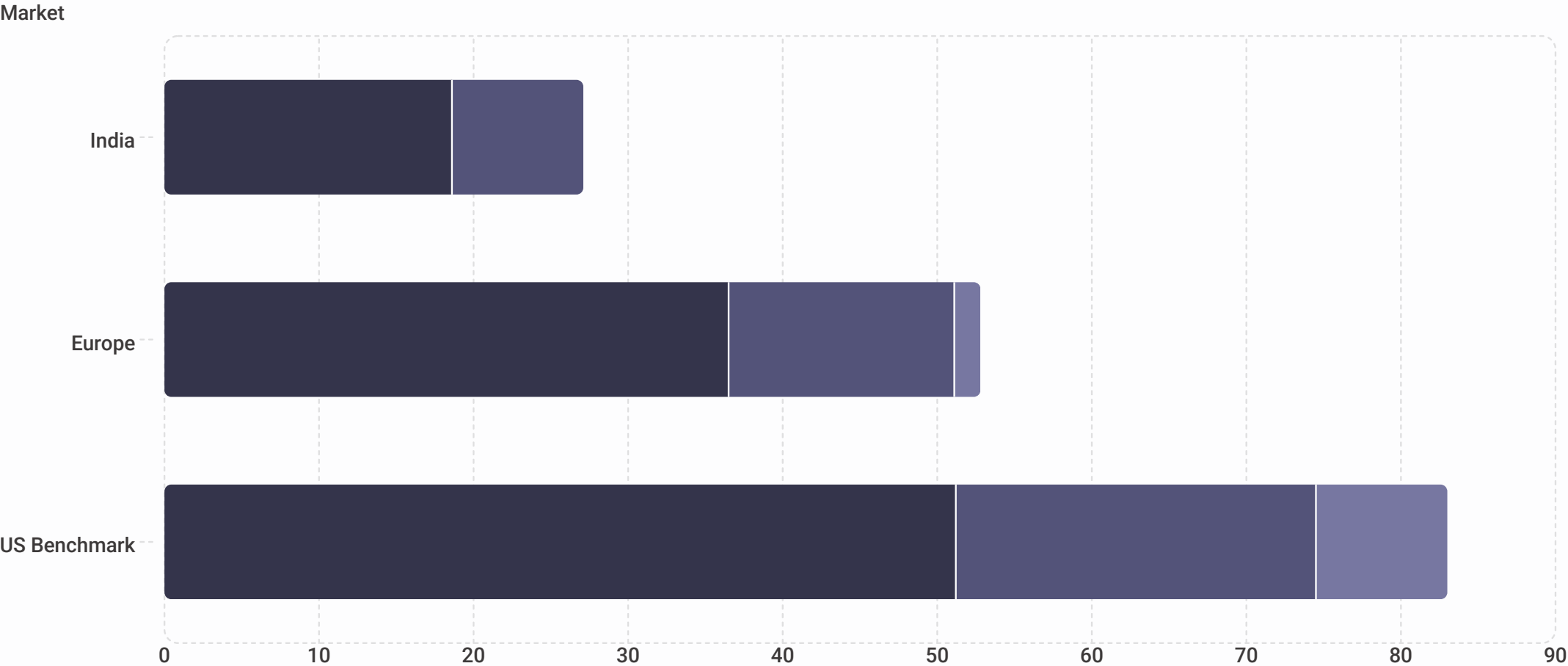
At the median, an Indian SaaS startup earns **\$98 per year** versus **\$2,279** in Europe and **\$12,293** in the US. India has founders; it does not yet have businesses.

📌 That gap is structural, not just a valuation discount.



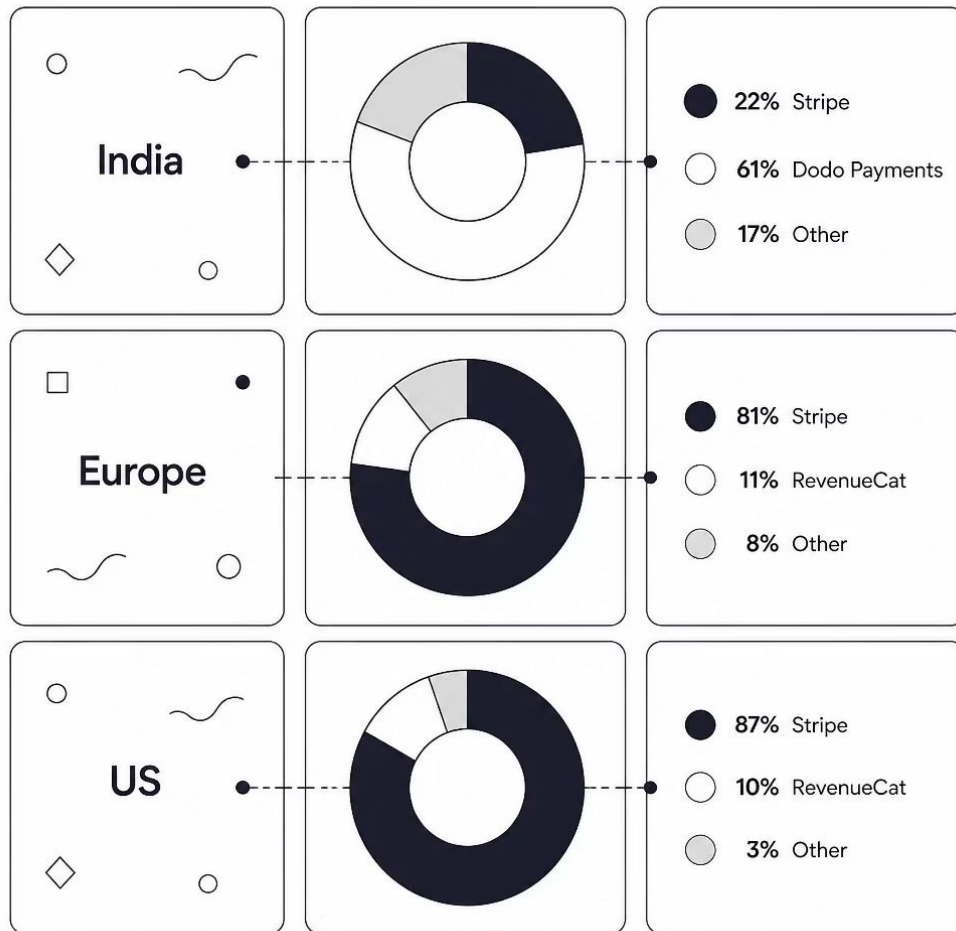
India's funnel breaks at \$10k. Europe's breaks at \$500k.

■ Cross \$10k (%) ■ Cross \$100k (%) ■ Cross \$500k (%)



India has zero startups above \$500k in this panel, while Europe has 5 and the US has 22. The main choke point is the jump from \$10k to \$100k revenue.

61% of Indian founders can't use Stripe. That's not a preference. It's a wall.



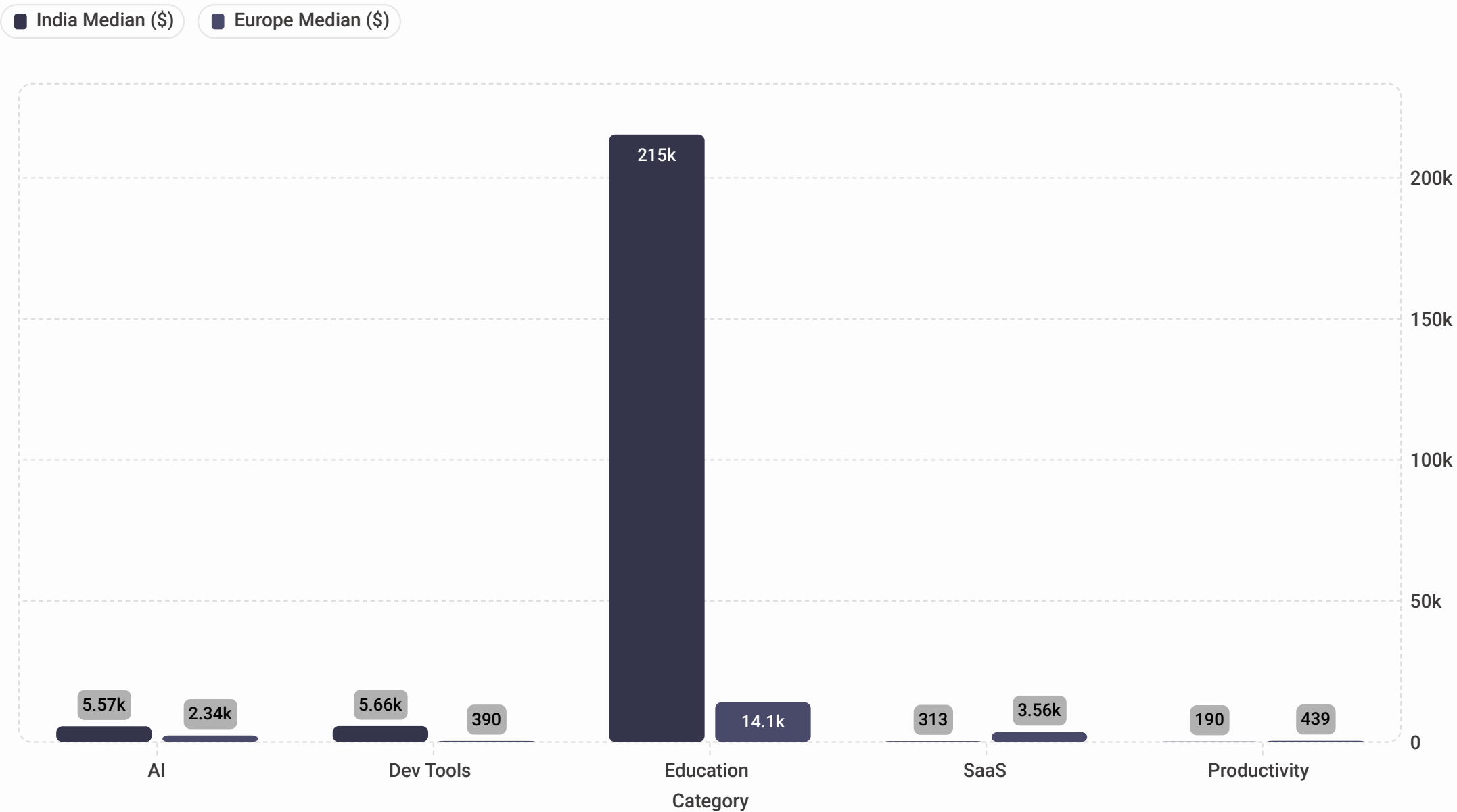
Why this is a revenue ceiling

Stripe's India onboarding is restricted for USD collection. Indian founders often route through merchant-of-record layers like Dodo Payments, which constrains:

- International trust signals
- Subscription tooling
- USD conversion rates

36 of 50 Dodo accounts in the panel are Indian. Gateway access is a structural revenue ceiling.

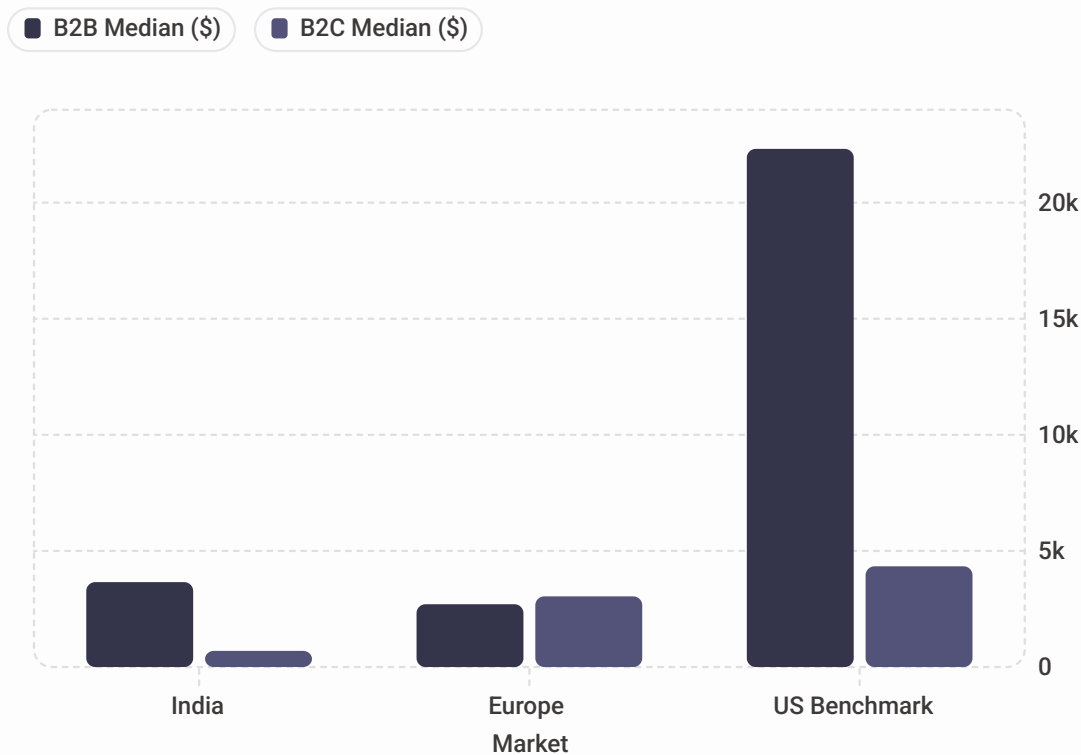
India's AI startups actually outperform Europe's. But India has no Content or E-comm story.



India's 9 AI startups earn **2.4x the median of Europe's 74**, and India's 3 Dev Tools startups outperform Europe's 9 by **14x**.

Small samples, but a clear pattern: Indian founders are strongest in developer-facing categories and weaker where consumer trust, brand, or payments matter most.

Both markets are majority B2C. But B2B is where the money is.



The signal hidden in a small cohort

India's B2B founders earn **5.3x their B2C peers**. Europe's gap is nearly flat.

- **India B2B cohort:** 14 founders, dramatically outperforming
- **Europe B2B cohort:** 83 founders, no pricing premium over B2C
- **US B2B cohort:** 115 founders, \$22k median ceiling

Bottom line: India has signal, but the cohort is still too small to size a portfolio around.

Indian startups charge \$96 per subscriber.
Europeans charge \$169. Americans charge \$262.

\$96

India ARPU

Median active subscribers: 1

\$169

Europe ARPU

Median active subscribers: 9

\$262

US ARPU

Median active subscribers: 30

India's issue is not just price. The median Indian startup in this panel has **1 active subscriber**, versus 9 in Europe and 30 in the US, so the challenge is distribution as much as monetization.

India's top 5 look like real businesses. The question is why there are only 5.

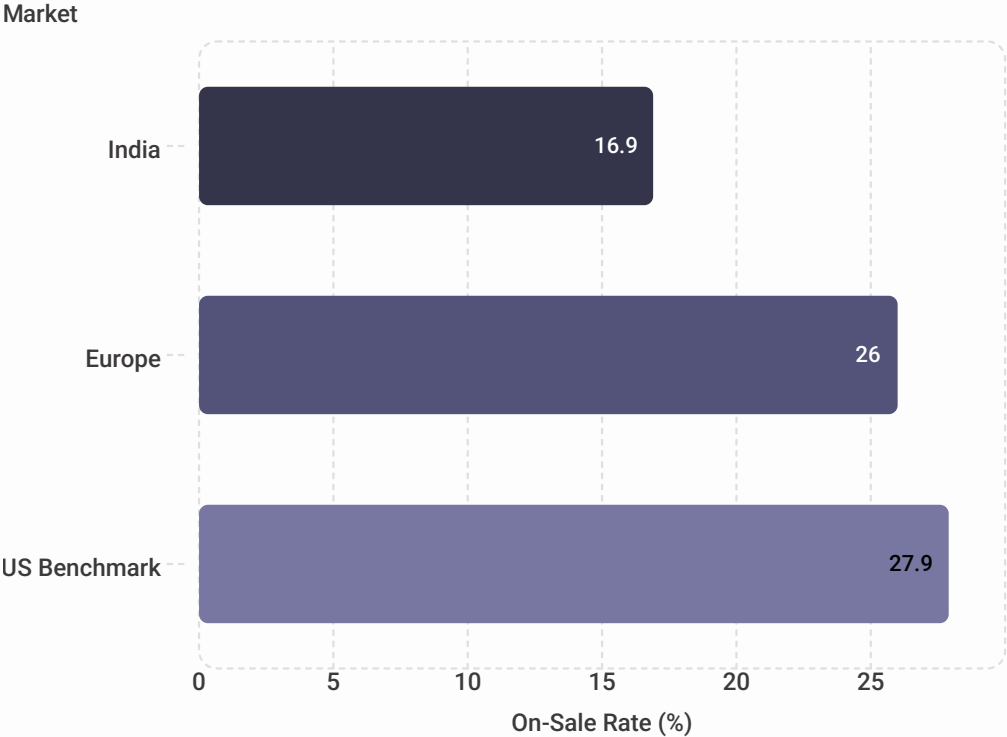
India Top 5

Company	Category	Revenue	DR
MagicSlides.app	Education / B2C	\$215k	61
Kortex-Notebooklm	AI / B2C	\$206k	4
Web3Forms	Dev Tools / B2C	\$206k	81
Supergrow	Social Media / B2C	\$193k	59
Hirevire	Recruiting / B2B	\$127k	60

Europe Top 5

Company	Category	Revenue	DR
BackPedal Ltd (UK)	Security / B2C	\$711k	26
PROSP (FR)	AI / B2B	\$507k	30
Simple Analytics (NL)	Analytics / B2B	\$462k	80
WaLead AI (ES)	AI / B2B	\$376k	20
Calendesk (PL)	SaaS / B2B	\$365k	69

Indian founders don't list for sale. European founders do, at a higher premium.



Multiples tell a different story

India's higher multiple on fewer listings suggests **narrative pricing on thin liquidity**. Founders price on ambition, not comps. Europe shows real deal flow, with a higher listing rate and a lower multiple.

📌 Europe has exits; India has hope.

India

4.7x median multiple
16.9% listing rate

Europe

3.35x median multiple
26.0% listing rate

US

3.2x median multiple
27.9% listing rate

Deploy in Europe now. Seed India selectively.

EUROPE: DEPLOY NOW

- 288 startups, 5 above \$500k, real B2B traction in AI and SaaS
- Stripe-native infrastructure, functioning exit market: 26% on-sale rate, 3.35x multiples
- Risk: revenue ceiling. Only 1.7% cross \$500k vs 8.5% in the US

INDIA: SEED SELECTIVELY

- 59 startups, 0 above \$500k, but AI and Dev Tools outperform Europe per-company
- Structural barriers: 61% on non-Stripe rails, median 1 subscriber, \$98 median revenue
- The play is not a portfolio. It is 3 to 5 bets on founders who have already solved distribution: DR 50+, 100+ subscribers

Europe is a market. India is a bet. Size your checks accordingly.